QRU Pivot Points in Day Trading - Book

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CHAPTER 1

How Traders Locate Turning Points and Draw Key Lines on Charts

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1. Introduction: What This Book Teaches

Day traders watch prices move in real time. Their goal is not simply to guess whether a stock, futures contract, currency pair, or cryptocurrency will go up or down. Instead, many traders try to identify important areas on the chart where price may slow down, reverse, pause, or accelerate.

These important areas are often called pivot points, support, resistance, or key levels.

This book teaches the introductory idea behind those levels:

- How traders find turning points on charts

- How they draw simple lines that mark important price areas
- Why those lines matter
- How sports and football-field analogies can make the concept easier to understand
- Why pivot points are useful but never guaranteed

The central idea is simple:

Prices often react near places where traders previously made important decisions.

A pivot point is like a spot on the field where the game changes direction.

2. The Football Field View of a Price Chart

Imagine a football field.

The field has:

- Yard lines
- End zones
- Midfield
- Boundaries
- Momentum shifts
- Defensive stands
- Breakaway runs

A price chart can be viewed in a similar way.

Instead of teams moving a ball down the field, buyers and sellers move price up and down. Buyers try to push price higher. Sellers try to push price lower.

On a football field, the 50-yard line matters because it marks an important zone. Near the goal line, pressure increases. A team may stall, break through, or get pushed back.

On a chart, certain prices act like those important yard lines.

These chart "yard lines" may be:

- Previous highs
- Previous lows
- Opening price
- Previous day's closing price
- Calculated pivot levels
- Round numbers, such as $100 or $50
- Areas where price paused many times

A trader draws these levels to understand the playing field.

CHAPTER 2

Everyday Analogy

Think of a shopping mall during a big sale. If many people gather near one store entrance, that entrance becomes important. Traffic slows, people make decisions, and movement changes.

A chart level works similarly. If many traders paid attention to a price before, it may become important again.

3. What Is a Pivot Point?

A pivot point is a price area where the market may change direction or where traders expect an important reaction.

There are two common meanings:

1. Visual pivot points
These are turning points seen directly on the chart, such as a swing high or swing low.

2. Calculated pivot points
These are mathematical levels based on previous price data, often the prior day's high, low, and close.

Both types help traders organize the chart.

A pivot point does not predict the future with certainty. It simply marks a place where traders may pay attention.

CHAPTER 3

Simple Definition

A pivot point is a possible turning point or decision area on a chart.

CHAPTER 4

Football Analogy

A pivot point is like a key yard line where the offense either breaks through or gets stopped.

Price approaches the level. Then traders watch:

- Does price bounce away?
- Does price break through?

- Does it hesitate?
- Does volume increase?
- Does momentum change?

The level itself is not magic. It matters because traders react to it.

4. Swing Highs and Swing Lows

The easiest pivot points to see are swing highs and swing lows.

CHAPTER 5

Swing High

A swing high is a local peak on a chart.

Price rises, reaches a high point, then turns lower.

Example:

text
High
?
/ \
/ \

A swing high often becomes a possible resistance level.

CHAPTER 6

Swing Low

A swing low is a local bottom on a chart.

Price falls, reaches a low point, then turns higher.

Example:

text
\ /
\ /
?
Low

A swing low often becomes a possible support level.

CHAPTER 7

How to Spot Them

A beginner can look for simple turning shapes:

- Price rises, stops, then falls ? possible swing high
- Price falls, stops, then rises ? possible swing low

Many traders use candlestick charts, but the concept works on line charts too.

CHAPTER 8

Football Analogy

A swing high is like a team driving downfield and getting stopped near the 20-yard line. They reached that area, but the defense pushed them back.

A swing low is like a team being pinned deep near its own end zone, then finally turning momentum around.

5. Support and Resistance: The Yard Lines of the Market

Two of the most important chart concepts are support and resistance.

CHAPTER 9

Support

Support is a price area where buying has been strong enough to stop or slow a decline.

It is like the ground under a falling ball.

When price reaches support, traders ask:

- Will buyers step in again?
- Will price bounce?
- Will sellers overpower buyers and push lower?

CHAPTER 10

Resistance

Resistance is a price area where selling has been strong enough to stop or slow a rise.

It is like a ceiling above a rising ball.

When price reaches resistance, traders ask:

- Will sellers appear again?
- Will price reject the level?

- Will buyers break through?

CHAPTER 11

Support and Resistance Are Zones, Not Laser Lines

Beginners often think support and resistance are exact prices.

In real trading, they are usually areas.

For example, if a stock has reacted around $50 several times, the important zone may be roughly $49.80 to $50.20 rather than exactly $50.00.

CHAPTER 12

Football Analogy

A yard line is exact, but the struggle happens around it. A team may be inches short, exactly on the line, or slightly past it before the officials decide the result.

Chart levels work the same way. Price often tests around a level rather than stopping perfectly on it.

6. Drawing Key Lines on a Chart

Drawing key lines is one of the first practical skills traders learn.

The purpose is not to decorate the chart. The purpose is to mark places where price has shown importance.

CHAPTER 13

Step 1: Choose a Timeframe

Day traders often use short timeframes such as:

- 1-minute chart
- 5-minute chart
- 15-minute chart

They may also look at higher timeframes, such as:

- 1-hour chart
- Daily chart

Higher-timeframe levels are often important because more traders can see them.

CHAPTER 14

Step 2: Mark Obvious Highs and Lows

Start with the clearest turning points:

- Previous day high
- Previous day low
- Current day high
- Current day low
- Major intraday swing highs
- Major intraday swing lows

Do not mark every tiny wiggle. Focus on levels that clearly changed price direction.

CHAPTER 15

Step 3: Draw Horizontal Lines

For support and resistance, draw horizontal lines across the chart.

Horizontal levels are useful because they show prices where traders reacted before.

Example:

```text
Resistance
???????????????
?
/ \
/ \

Support
???????????????
```

CHAPTER 16

Step 4: Treat Lines as Zones

If price reacted several times near $100, draw a zone around that area rather than assuming $100.00 is the only important number.

Example:

```text
Resistance Zone
???????????????
```

CHAPTER 17

Step 5: Avoid Overcrowding

Too many lines make the chart confusing.

A beginner should usually mark only the most obvious levels.

A clean chart helps decision-making.

CHAPTER 18

Simple Rule

If you have to work too hard to justify a line, it may not be important.

---

7. Classic Floor-Trader Pivot Points

In addition to visual levels, many traders use calculated pivot points.

The most common traditional formula is called the classic pivot point.

It uses the previous trading session's:

- High
- Low
- Close

CHAPTER 19

Main Pivot Formula

text

Pivot Point = (Previous High + Previous Low + Previous Close) ÷ 3

This gives a central reference level for the new trading day.

CHAPTER 20

Support and Resistance Levels

After calculating the main pivot point, traders often calculate support and resistance levels.

Let:

text

P = Pivot Point

H = Previous High

L = Previous Low

Then:

text

R1 = (2 × P) ? L

S1 = (2 × P) ? H

Additional levels may include:

text

R2 = P + (H ? L)

S2 = P ? (H ? L)

Where:

- R1 means first resistance level
- R2 means second resistance level
- S1 means first support level
- S2 means second support level

CHAPTER 21

Example

Suppose yesterday's prices were:

- High: $110
- Low: $100
- Close: $106

The pivot point is:

text

P = (110 + 100 + 106) ÷ 3

P = 316 ÷ 3

P = 105.33

Now calculate R1 and S1:

text

R1 = (2 × 105.33) ? 100

R1 = 210.66 ? 100

R1 = 110.66

text

S1 = (2 × 105.33) ? 110

S1 = 210.66 ? 110

S1 = 100.66

So traders may watch:

- Main pivot: $105.33
- First resistance: $110.66
- First support: $100.66

CHAPTER 22

Important Truth

Calculated pivot points are not guaranteed turning points. They are reference levels.

Their usefulness comes partly from the fact that many traders watch them.

CHAPTER 23

Football Analogy

Before the game begins, coaches know the field markers. They know midfield, the red zone, and the goal line.

Calculated pivot points are like pre-marked field zones for the trading day.

8. How Traders Use Pivot Points During the Day

Traders use pivot points in different ways, but most uses fall into a few basic categories.

CHAPTER 24

1. Finding Possible Bounce Areas

If price falls toward support, a trader may watch for signs that buyers are stepping in.

Signs may include:

- Price stops falling
- Candles show rejection of lower prices
- Volume increases near the level
- Price starts making higher lows

This does not mean the trader automatically buys. It means the level becomes a place to watch carefully.

CHAPTER 25

2. Finding Possible Rejection Areas

If price rises toward resistance, a trader may watch for signs that sellers are appearing.

Signs may include:

- Price stalls
- Price fails to make a new high
- Candles reject higher prices
- Volume appears without further upward progress

Again, the level is not a command. It is a decision area.

CHAPTER 26

3. Watching for Breakouts

Sometimes price does not bounce. Instead, it breaks through a level.

A breakout happens when price moves beyond support or resistance with enough strength that traders believe a new zone may be forming.

Example:

```text
Resistance
???????????????
?
/
/ Breakout
/
```

A breakout above resistance may suggest buyers are strong.

A breakdown below support may suggest sellers are strong.

CHAPTER 27

4. Watching for Retests

After a breakout, price may come back and test the old level.

A common market idea is:

Old resistance may become new support.
Old support may become new resistance.

Example:

text

Old Resistance
???????????????
Breakout ?
?
?
Retest ?
???????????????
New Support?

This is not always true, but traders often watch for it.

CHAPTER 28

Football Analogy

If a team finally breaks through a defensive line, that same line may become the place they try to defend on the next play.

In markets, a broken resistance level may become a support zone if buyers defend it.

9. Breakouts, Bounces, and Fakeouts

Pivot levels create three common situations.

CHAPTER 29

Bounce

A bounce happens when price reaches a level and moves away from it.

Example:

- Price falls to support
- Buyers enter
- Price rises

CHAPTER 30

Breakout

A breakout happens when price moves beyond a level.

Example:

- Price rises to resistance
- Buyers continue pushing
- Price trades above resistance

CHAPTER 31

Fakeout

A fakeout happens when price briefly breaks a level, then reverses back.

Example:

- Price moves above resistance
- Traders think it is breaking out
- Price quickly falls back below resistance

Fakeouts are common. This is why traders often look for confirmation instead of reacting instantly.

CHAPTER 32

Confirmation May Include

- Strong closing candle beyond the level
- Increased volume
- Retest of the level
- Momentum continuing after the break
- Multiple candles holding above or below the level

CHAPTER 33

Football Analogy

A fakeout is like a quarterback pump fake. It looks like one move is coming, defenders react, and then the play goes the other way.

Markets can do the same thing. Price may appear to break a level, draw traders in, and then reverse.

---

10. Volume, Time, and Context

A pivot level is more meaningful when viewed with context.

CHAPTER 34

Volume

Volume shows how much trading occurred.

A price move with high volume may suggest stronger participation.

For example:

- Breakout with rising volume may be more meaningful
- Bounce with strong volume may show active buying
- Rejection with heavy volume may show strong selling

Volume does not guarantee success, but it adds information.

CHAPTER 35

Time of Day

Day trading has rhythm.

For stocks, the opening minutes often have high activity. Midday may be slower. The final hour can become active again.

A level tested during a high-volume period may behave differently than the same level tested during a quiet period.

CHAPTER 36

Larger Trend

A level should not be viewed alone.

Ask:

- Is the market trending up?
- Is the market trending down?
- Is it moving sideways?
- Is there important news?
- Is the broader market strong or weak?

CHAPTER 37

Football Analogy

A 10-yard gain means something different depending on context.

- First quarter or final minute?
- Regular season or championship?
- Third-and-long or first-and-ten?
- Winning or losing?

In trading, the same price level can matter differently depending on market context.

11. Risk Management: Defense Wins Games

Finding pivot points is only one part of trading. Risk management is essential.

A trader can correctly identify an important level and still lose money if the trade is poorly managed.

CHAPTER 38

Why Risk Management Matters

Pivot points are areas of possibility, not certainty.

Price may:

- Break through support
- Reject resistance
- Fake out both sides
- Move unpredictably after news
- Become volatile without warning

CHAPTER 39

Common Risk Tools

Traders often use:

- Position sizing
- Stop-loss orders
- Maximum daily loss limits
- Pre-planned entries and exits
- Avoiding trades during major news
- Practicing with simulated trading

CHAPTER 40

Stop-Loss Concept

A stop-loss is an order or plan to exit if the trade moves too far against the trader.

For example, if a trader buys near support, they may decide in advance where the support idea is no longer valid.

The goal is not to avoid every loss. Losses are part of trading. The goal is to prevent one bad trade from causing major damage.

CHAPTER 41

Football Analogy

A great offense is exciting, but defense keeps the team in the game.

In trading, risk management is defense.

Without defense, even a good strategy can fail.

12. Common Beginner Mistakes

CHAPTER 42

Mistake 1: Believing Lines Are Magic

Support and resistance are not walls. Pivot points are not promises.

They are areas where traders may react.

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Mistake 2: Drawing Too Many Lines

If every price is important, no price is important.

A chart with too many lines becomes difficult to read.

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Mistake 3: Ignoring the Bigger Picture

A support level may fail if the overall market is weak. A resistance level may break if buyers are strong.

Always consider context.

CHAPTER 45

Mistake 4: Entering Too Early

Beginners often jump into trades the moment price touches a level.

Experienced traders often wait for price behavior to confirm the level matters.

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Mistake 5: Risking Too Much

Even a high-quality setup can fail.

Risking too much on one trade is one of the fastest ways to damage an account.

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Mistake 6: Confusing a Zone With an Exact Price

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Think in zones.

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Mistake 7: Chasing After the Move

If price has already moved far away from the level, the opportunity may be gone.

Good trading often requires patience.

13. A Simple Practice Routine

Before trading real money, beginners can practice reading charts.

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Practice Step 1: Pick One Chart

Choose one market, such as a major stock or index ETF, and study it consistently.

CHAPTER 50

Practice Step 2: Mark the Previous Day's High and Low

These are common reference levels.

Draw horizontal lines at:

- Yesterday's high
- Yesterday's low

CHAPTER 51

Practice Step 3: Mark the Current Day's Opening Price

The opening price can act as a reference point.

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Practice Step 4: Identify Swing Highs and Swing Lows

Look for obvious turning points.

Mark only the clearest ones.

CHAPTER 53

Practice Step 5: Watch Reactions

When price reaches a level, observe:

- Does it bounce?
- Does it break?
- Does it fake out?
- Does volume increase?
- Does it retest the level?

CHAPTER 54

Practice Step 6: Keep a Journal

Write down:

- Date
- Market watched
- Levels drawn
- What happened at each level
- Whether the level mattered
- What you learned

CHAPTER 55

Practice Step 7: Review Screenshots

Take screenshots before and after the trading session.

This helps you train your eye.

CHAPTER 56

Beginner Exercise

Look at a chart and answer:

1. Where did price recently stop rising?
2. Where did price recently stop falling?
3. Which levels were tested more than once?
4. Which levels caused strong reactions?
5. Which levels failed?
6. Did old resistance become support?
7. Did old support become resistance?

The goal is not to predict perfectly. The goal is to learn how price behaves around important areas.

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14. Glossary

CHAPTER 57

Breakout

A move beyond a support or resistance level.

CHAPTER 58

Breakdown

A move below a support level.

CHAPTER 59

Fakeout

A brief move beyond a level that quickly reverses.

CHAPTER 60

Pivot Point

A potential turning point or decision area on a chart.

CHAPTER 61

Resistance

A price area where selling pressure may slow or stop a rise.

CHAPTER 62

Retest

When price returns to a level after breaking through it.

CHAPTER 63

Support

A price area where buying pressure may slow or stop a decline.

CHAPTER 64

Swing High

A local peak where price rises, turns, and begins to fall.

CHAPTER 65

Swing Low

A local bottom where price falls, turns, and begins to rise.

CHAPTER 66

Volume

The amount of trading activity during a period.

CHAPTER 67

Zone

A price area rather than one exact price.

15. Memorable Takeaway

Pivot points are the market's decision areas.

They are like important yard lines on a football field. Price moves toward them, pressure builds, and traders watch to see whether the move will be stopped, reversed, or pushed through.

The beginner's job is not to predict every play.

The beginner's job is to learn the field:

- Mark the obvious levels
- Watch how price reacts
- Think in zones
- Respect fakeouts

- Use risk management
- Remember that no line is guaranteed

CHAPTER 68

Final Takeaway

A pivot point is not a crystal ball.

It is a marked spot on the field where the next important contest between buyers and sellers may happen.

COLOPHON

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